

2026 Jul 6 Planned Decision Making

2026-08-11 14:32:51

00:00:06 Speaker 1

All right, we'll get this thing going. We got the recording started again. I am going to make one quick tech change here and put this up. Do not disturb. All right.

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Now, as we go through this, if you have questions, feel free to to uh just cut me off. It's, it gets a little weird when we're doing the training this way, because um like I said, the the Zoom link is one login. And what I'm going to show you is on a different login. So I kind of have to bounce back and forth to see what's going on Zoom. So um right now, do you see a screen that says, Plan To Decision Making? Yep Okay, So, A lot of what we're going to go through today is from the book " T. He Art of Clear T hin king " by John Hazard Lee. Hazard is his flight nickname. He was an F sixteen pilot who then switched ; was one of the first pilots to change to the F thirty five while it was in experimental stage, and then his experience led to him being.

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Assigned to design the flight instruction process for the incoming F thirty five pilots, And one of the first things he realized was that the F sixteen, while it was pretty complex, Was still being. He was trained on it the same way that we were training pilots clear back in World War Two, where you just knew everything about the plane. And if you got in a sticky situation, You just knew what the plane could do and just did what you were told to do next. They weren't really taught how to think through the process of what makes the most sense for my next action. You just knew what the plane could do and you just did it. Well, The problem with the F thirty five is that the F thirty five is extremely computer dependent. Like, The F sixteen computer has about as much memory in it as your cell phone.

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Where, an F thirty five has over a billion lines of code that keeps the plane in the air, You couldn't know everything there is to know about the airplane because t here is too much to know. And it updates too quickly. And so he said, Well, look what we need to do is teach pilots how to think. What makes the most sense to do here and make that decision? But they've got to be able to do it under stress. And he recounts in this book, how he's trying to explain to the Air Force up. Upper brass, that before they teach them how to fly the plane, They've got to teach them how to think and handle stress and decision making in stress. And the air force, of course

being the air force said well prove it. Prove, we need to make. We need to change what we've been doing for fifty years. So, they set up a double blind with a bunch of cadet with a bunch of trainees one group. They trained the traditional way.

00:03:31 Speaker 1

His group, they trained before they ever even trained him anything about the airplane. They trained him on decision making and then trained him on the aircraft. Well, It should come as no surprise that those that were trained to think and figure out how to make decisions in stressful situations outscored those that were just trained how to mechanically, operate the plane. So, the air force decided, yeah, this makes sense. We should do this with all the pilots. So they rewrote the entire instructional process for training, um, the pilots for the F thirty five initially. That, they're a whole significant portion of the first part of their training is decision making. And, then they realized it works so well that they should be training all of their pilots on how to make decisions in stressful situations because they had kids that were scoring really, really well on the written test who would wash out and couldn't figure out how to fly the plane, because in a stressful situation, they'd make mistakes.

00:04:28 Speaker 1

I am not going to recount all of his experiences he tells through the book, but he makes it very. If you ever want to read it as a quick read, took me about a day and a half. The Art of Clear Thinking by Hazard Lee. He uses actual experiences as a pilot in very high stress combat situations to illustrate how we use these skills and some of the skills he was trained on, some of them he had to come up with his own. Some have been around for a while, but had never really been integrated. So, we're going to look at two of the different decision - making processes that he now that we now trains other fighter pilots on. He's now retired from the Air Force, and he now goes around the world, training corporations and people and business people, how to make an intelligent decision. Now as we get into this.

00:05:23 Speaker 1

You are going to see me use a quote that he uses multiple times, and it pops up in there at least once. One of the first things they teach the pilots in making decisions is, "There is no situation so bad you can't make it worse." He said, "I know that sounds negative, But there is no situation so bad that if you make a rushed or poor decision, you can't make it worse."

00:05:52 Speaker 1

And once the pilots understand that, that they can take a bad situation and make it worse, or they can take a bad situation and make it better. What, we're emphasizing is you're going to look at what decisions could make it worse and what could make it better, and which make the most sense to implement. Our goal here is not to make it worse but to make it better. Now, we've all been in situations where we've done what seemed like made the most sense. And, then the next step happens and

it didn't go the way we thought it would. And yeah, we may have made it worse. Well, that's part of the decision-making process is how to take that feedback. So, the first loop we're going to look at is called the OODA loop. This was originally developed by Colonel Boyd, John Boyd in the US Air Force in the nineteen seventies to train very early jet fighter pilots, Very early like first or second generation F sixteen pilots on ways to make decisions.

00:06:49 Speaker 1

And ways to make decisions that either keep you out of trouble or take a situation that is rapidly changing and make it better. And you'll notice that throughout this process, it is a loop. Once you make it, you don't just stop. You don't make one decision. Life is full of continually making decisions based on what happened from our prior decisions.

00:07:17 Speaker 1

So, the first thing we do when we go into a situation is we need to observe what's actually what's going on. This tends to be a relaxed state of readiness. This is when oftentimes, well, for another you know working with another flight analogy, we're on autopilot. All modern aircraft are designed that with an autopilot engaged, the plane can fly itself. It can keep itself in the air. Oftentimes when we're working with people and working with situations, we're kind of in that autopilot mentality. Oh, I've done this enough times. I just know what to expect. I'm not going to, I'm just kind of going through the motions, and we're not paying full attention to what's going on. And. Consequently, we're in a low state of readiness, and we're not really paying attention to what's actually occurring around us.

00:08:15 Speaker 1

Until something happens, And then we have to move ourselves quickly into from relaxed readiness, but up to a more alert readiness status. So we observe what's going on around us. We then have to orient ourselves to the current reality, what's actually reality, not what we think is reality. Once, we understand what's going on around us and have oriented ourselves to the current reality. Now we're in a high state of alert. Now we have to decide what to do. And oftentimes we're deciding between decisions that are, sometimes we have a good, better, best situation. Sometimes we have a bad, worse and absolutely worse situation. And, we're trying to orient ourselves to get out of that bad situation into good situation.

00:09:08 Speaker 1

We have to make a decision, become engaged with it, and do what we decided to do. Go through the actions and then observe what the results are. Now I know that sounds fairly basic, but in a high stress situation we can forget where we're at. In the OODA loop as John Boyd described it: observing. We're just gathering raw data. And real-time information from your environment. Well, when we're working with clients and people, What's the most common way that we observe and see what's going on with them? Ooh, you gonna make me answer that one? Asha, when you're

working with clients, How often what's the most common way of getting information from them to observe what's really going on?

00:10:11 Speaker 2

Asking open- ended questions, listening than talking.

00:10:19 Speaker 1

Okay. What is your most common form of communication with your clients?

00:10:25 Speaker 2

Uh, for me.

00:10:31 Speaker 1

Oh, now I know why she's not answering. She's breaking up on us.

00:10:35 Speaker 2

Oh shoot, sorry. Um it's usually verbal. I prefer verbal over. Message and email whenever possible.

00:10:43 Speaker 1

Okay, so having a conversation with them, advantage to a verbal phone call conversation immediate feedback. Disadvantage we oftentimes misremember what the conversation was right? Well I think I said or I think that's what we talked about. Advantage to an email or a text. We have a written conversation. We've got proof of what was said disadvantage. Time lag. But we've now got in writing what was what was intended. We need to observe and get as much information as possible. Now, sometimes we have time to do that, sometimes we don't, you know? How often do things seem to come up at three o'clock on the afternoon of a deadline in the contract, and we got to have sorted out by five o'clock?

00:11:39 Speaker 1

Or if we're planning ahead and we've got a couple, you what all the time more than like.

00:11:47 Speaker 2

Yeah, even though we're paying attention to those deadlines, we're keeping track of them. We're doing everything we can. Things happen once we observe. We have to orient ourselves to what isum the gathered information to build an accurate mental picture of reality, what really is happening.

00:12:08 Speaker 1

Again, going back to the statement, there's no situation so bad you can't make it worse. Most of the time we make a situation worse is because we're making assumptions about what's happening. And so our decisions are based on assumptions or incomplete or inaccurate data. And then once we make a decision

based on incomplete or inaccurate data, we're oriented to a reality that doesn't exist or we're not completely properly oriented.

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Now, in his book, Hazard Lee describes an experience. He had his first time out, flying an F thirty five following. And as a trainee. And his trainer made a particular move with the aircraft that you have to be within very, very specific parameters to work in terms of your airspeed, the actual physical position of the aircraft. Even the position of the pilot inside the aircraft, because the amount of force that's going to occur against your body. His trainer made that particular very sudden move. He knew his situation was about ninety five percent of what he needed to be in in order to pull off the maneuver, figured that was close enough and tried the same move.

00:13:33 Speaker 1

And stalled the aircraft at five miles in the air. At such a high rate of speed, he temporarily lost consciousness. And when he regained consciousness, it was with his aircraft pointed nose down, hurtling at full speed toward the ground. And he suddenly had a very dynamic, Situation that he needed to observe and orient himself to. And, the first thing he did was figure out where the eject was he in a situation he could eject if he had to. And then realized he had time once you to figure out what was happening, Reoriented himself to the reality of the situation and was able to recover the aircraft.

00:14:30 Speaker 1

Now, when he landed, which he did successfully, after he got chewed out pretty hard for making such an obvious mistake. And they went through the iterative process of tell me what happened. Tell me what decisions you made. Restate what the results were and realizing 95 % of reality wasn't good enough in that situation. He needed to know 100% of what was going on. And if he was outside of that area of operation, he shouldn't have made the decision he did. The learning experience came from living through the experience, But then having someone afterwards sit down with him and go through the process of, let's go back through your loop. What did you observe? How did you orient yourself? What did you decide to do? What was your action? What was the result?

00:15:28 Speaker 1

That now puts you back into, "Now I need to see what's happening. I need to get myself oriented again. I need to make another decision quickly, and I need to act on that decision." And it needs to be now. And, that's the process. They started training these pilots on :. Observe what's going on around you, gain as much information. Now reality : Are we ever going to know 100 % of what's going on around us?

00:15:57 Speaker 1

Are we ever going to have a full complete picture? Probably not. But, that's where we have to orient ourselves to reality with as much information as possible. The

more I know about what's happening, the better decisions I can make. And that comes from observing what is actually occurring around us. Now, the other loop that they train The pilot's on is called the ACE helix. Now, The ACE helix again is built around the premise of ". There ' s no situation so bad that you can't make it worse." And for those who are familiar with what you know, the shape of a helix he hazardly describes it, but we all know that a helix is very much like a spiral. This is not a one and done situation.

00:16:52 Speaker 1

Every time we make a decision, it creates a new reality, And we then have to make our decisions based on the new reality that's come about from that decision. So it continues to occur over and over. And ACE stands for Assess, Choose, and Execute. So you notice it's very familiar to the OODA loop: Observe, Orient, Decide. And act where assess takes that role of observe and orient. And when we assess the situation, We have to filter out all the variables because we need to look at high yield facts. There's a lot of stuff and fluff that goes on. Sometimes when you're trying to make a decision, extraneous noise that we need to filter out. And, we need to look at if we're in a situation where a decision needs to occur rapidly,

00:17:51 Speaker 1

What is going to create a high yield in a short amount of time? Is it better to make a phone call? Is it better to send a text message? If I, you know, what do I know? Define the problem. Be very clear about what we are, what you are going to be addressing. What is the specific problem we're going to address with this decision? And, what can happen in framing those decisions sometimes is that we try to make too many decisions altogether as one decision. We may need to look at what is the most immediate problem that needs to be solved immediately in order to get oriented to make the next decision, to solve the next problem.

00:18:46 Speaker 1

And he says again, "don't jump to conclusions." Oh, and I just found my typo. I hate that. And that we need to reconstruct a clear picture of the situation rather than relying on assumptions. Now, the F sixteen is a very unique aircraft. My daughter and I share memes about the F sixteen all the time. She's a crew chief on the F sixteen for the U.S. Air Force; she's active duty. And I shared one with her yesterday that she got the giggles. And, it's an F sixteen pilot standing next to an F sixteen that has a number of the access hatches removed while the maintainers are working on the aircraft. And Hazard Lee says, "You know, you want to know how much trust we put in these maintainers? I've got an eighteen year old, I got a teenager out there keeping this."

00:19:43 Speaker 1

Aircraft in the air, and I've got to make sure they're making good decisions. And as crew chiefs, you have to make sure hers makes the right decisions. Well, In this particular video, there's an F - 16 pilot standing next to his aircraft that's having

maintenance done on it. And he says, "Hmm, I wonder what this thing does? I have no idea. I should probably find out. " But, the last thing I'd want to do is ask a maintainer what it does. And, she got the giggles because she'd shared an experience with us when she was on a it's called a T D Y temporary tour of duty last summer in uh the Philippines, where they had an aircraft. One of their F sixteen s as it was preparing for takeoff, was running up before it left the ground on the run on takeoff, sucked a very large bird into the engine.

00:20:39 Speaker 1

And, if you are familiar with the shape of the F sixteen, it has a huge scoop underneath. And it sucked that bird all the way through the engine and spit what was left out of the back of the airplane. When that occurs. There are a number of sensors in the aircraft that automatically shut it down. But, you can't just turn the engine off on that thing when it's not on the ground, and t here is a whole process they go through. The pilot successfully landed the aircraft, they were able to recover it, bring it back to th,e Service bay, and she and her crew had to remove the engine from this airplane, Send it back to their base in Japan for a complete rebuild on the engine. Every single part has to be pulled out and checked. And in the meantime, they have to clean out the whole insides, the whole fuselage of this aircraft. And so for multiple days, the pilot assigned to the aircraft had nothing to do. His plane can't fly; it's got no engine in it.

00:21:36 Speaker 1

And she was working on it one day, Cleaning bird guts out of the insides of this F sixteen And. The pilot came over and started asking. He decided he'd help because he had nothing else to do and started asking questions about the insides of the airplane. She said, "Dad, I was surprised at how little he knows about what actually keeps this plane in the air." And as they were going through and cleaning the aircraft. And while she's doing that, She's checking things that they usually can't see because there is an engine in the way. And, there happens to be a switch back in the engine bay. That's a nice big red switch. And the pilot said, "What does this one do?" And she looked at him and said, "Don't touch that." He said, "Well, what does it do?" She said, "You push that button. It turns off all of your avionics and shuts down your aircraft. It's basically the kill switch."

00:22:35 Speaker 1

You know all those movies, you watched as a kid where they had the self destruct button that blinked bright red? It's that. And the pilot looked at her and said, well, why is it clear backed here? She just looked at him deadpan. So you can't reach it while in the cockpit. Again, there's no situation so bad you can't make it worse. You push that button, yeah, you just made it worse. How many times have we been in a situation where we wish there was like a self destruct button. We could just push the button to make it go away?

00:23:07 Speaker 1

We could make it worse. Now, in the situation Hazard Lee shares the experience of, he was in a very high stress situation with his aircraft. And the F sixteen is if you are familiar with, it is an extremely volatile aircraft. It was designed for maximum speed maximum maneuverability Least amount of armor, no protection for the pilot, And it moves at such a high rate of speed and has so many things occurring to it at once. If it weren't for the onboard computer that runs it, pilots couldn't keep it in the air. They can't; the human body can't move fast enough to make all the decisions necessary to keep playing in the air. So, it's got top-of-the-line avionics; computer keeps in the air, and yet. The bottom corner.

00:24:05 Speaker 1

Of, the heads up display is an old fashioned analog clock left over from when the first series was released in nineteen seventy one. You have to wind this clock by hand to make it work. And in the high stress situations where they're having to make decisions very rapidly, and they're starting to feel overwhelmed, the phrase that the pilots use is Wind the clock. They physically reach down and wind, this fifty - year- old dash panel clock because sometimes just that step of touching the aircraft, doing something physical that breaks what their current sense of motion is, everything they're doing with the plane, physically and biologically resets their brain.

00:25:04 Speaker 1

To this manual task that's very old school, But it forces them to then reset what they're looking at and filtering their variables. Oh yeah, 'cause while I'm winding this clock, I'm seeing other things occurring. I'm noticing things that I might've overlooked on the panel. New data's coming in. Okay, Now I can make a decision without panicking and reaching back and hitting this button.

00:25:34 Speaker 1

That will knock me completely out of the sky. So as we filter variables, sometimes it's okay to slow down, step back, take a deep breath and wind the clock. If the decision ha- if we've got time to make the decision, Part of that filtering variables process can be stepping back and just letting silence kick in for a minute to think. As we define the problem and and create this baseline, get as much information as you can from as many sources. It's okay to say to a client, you know what? Let me find out more about that. Now, Simon Sinek, in many of his books has written that one of the biggest mistakes that big companies make is they make their employees afraid to ask questions.

00:26:32 Speaker 1

They're afraid to ask, but if I do that, what will happen? So, they go off and make decisions based on what they think should be the right answer, and then problems occur. So it is perfectly okay. Asha, how many times have you said to a client, "You know what? Let me find out more about that."

00:26:56 Speaker 2

A lot. Okay. If I am wishy washy on, Um, I'd rather tell them that I need to find out more just to make sure. Um, rather than have to walk it back later.

00:27:17 Speaker 1

Yeah. So yeah, I don't want to have to walk it back now. Part of the decision making process, The iterative process is sometimes I am going to have to walk back a decision. Nowum, Because I get more information that verify that, you know. So assess, get as much information as you can. Now part of that assessment process. He points out is we have to choose what we're going to do. We're going to brainstorm multiple options but set a deadline for when the ideas for when we're going to cut off getting new ideas.

00:27:57 Speaker 1

He said in the Air Force they use what's called the two-thirds rule. If they have a deadline by, you know, a decision has to be made by this date. If, we are we're going to take new ideas up to two - thirds the way up till that date. So that we have time to now review all of the options we've come up with and make a good decision. Now I said that doesn't mean if somebody comes with an idea after the two - thirds, we automatically reject it, but they better have a really good. I. Really good reason why they're going to bring it in after the two-thirds deadline. And, he shares an experience in the book where somebody came in with a potential solution for a high- risk problem at the beginning of the first Gulf War after the two - thirds deadline, And it was so off- the- wall that they almost rejected it because it was past the two - thirds deadline.

00:28:57 Speaker 1

Until other until people started verifying that this guy's not bragging, they really can do what they say they can do with this equipment. And it's the equipment that'll get the job done right. It was originally rejected by upper or the upper brass, simply because of who was who it wasn't set at the first time. So they had they said, yeah, I know we're past the two thirds rule, but look at all these are things we can do. And so they restructured what the decisions were. But sometimes our two-thirds rule, we've only got a couple of hours to make a decision. I can't still keep getting new ideas all the way up to the very end. Now, when we look at you know what comes up with our clients, What are the kinds of deadlines we have to face that we have to make decisions before deadlines? What deadlines do we face all the time?

00:30:02 Speaker 1

We know in the repsie we have four deadlines written right into there. I think for me, Most often the biggest deadline that requires the most creative thinking oftentimes is that due diligence deadline. How, are we going to work out due diligence inspection or other concerns on due diligence in ways that we've got a deadline has to be decided by. Five o'clock on this day, or there are negative

consequences for our buyer. Financing and appraisal. Asha, what were you going to say?

00:30:41 Speaker 2

I've had the most defaults on the SPC deadline. Not me defaulting on it, but sellers defaulting on that.

00:30:51 Speaker 1

Okay, so when a seller defaults on that, what decisions does your client have to make?

00:31:01 Speaker 2

Whether it's material or not to the transaction, like depending on what information we're still missing. Um, And then how they want to use that as leverage in the rest of the transaction.

00:31:17 Speaker 1

Okay. How does that affect now their orienting themselves to what the current reality is? Like you said, they're going to have to decide well, how does this affect the transaction? Do we go forward? Leverage is great to have.

00:31:33 Speaker 2

Do we cancel? Yeah, Do you want to cancel and blow up the whole deal? Or do you want to use that as leverage to get the amount of the earnest money back? Um yeah, that one's come up a lot for me.

00:31:50 Speaker 1

Okay, as a seller when I represent with listings, man getting those I know those are tedious to get filled out. I'd rather have them filled out long before a transaction, so it's not during a stressful time when they're trying to do it. Because I know, like Asha said, There's a pretty good chance somebody's going to be using this leverage if I don't get it sent to them on time. Well, let's orient ourselves to the reality of that's a deadline we have to meet. How many are struggling right now with HOAs and trying to get HOA docs on time?

00:32:25 Speaker 3

You got to start that process early.

00:32:28 Speaker 3

Like really early, which our TCS are pretty good at that by the way. Mhm. They're pretty good to start that process. But sometimes HOAs are still difficult.

00:32:40 Speaker 1

And if we don't start that process until we're under contract as a seller, we could be too late.

00:32:48 Speaker 3

Well, I'll tell you the advantage, if you started before you go under contract and you know that the HOA doesn't have recent meeting minutes. You can counter out, you can counter that section of the rep sheet where you say, "We don't have these, ". And so I'm countering out the meeting minutes because it has that listed in section seven of your disclosure requirements. And if you contact DHA early, you can tell them, "Oh, We don't actually have this aspect or this aspect of what is in the rep sheet." Because it's not acceptable to just say, "Oh," like and this happens so often as a listing agent.

00:33:24 Speaker 3

Telling the buyer agent, "Oh, we they just don't have that. We looked. You can try to contact HOA yourself." Well, your seller signed saying you are going to give it to me, So you are going to give it to me or you are going to default. That's really what it is. But, a lot of this is a really lazy thing in our culture right now because you can press them for default for not giving you the eighty minutes. They say, "Well, I can't give it to you." Well, You already signed, saying you were going to give it to me when you accepted the receipt. You said you are going to give me the meeting minutes. Well, HRA doesn't have it. Well, then why did you accept this? That's why it's better to get that information like right away as soon as you know that your that listing is going live. No contact the HRA and see what you really can do or they can't do.

00:34:11 Speaker 1

And, that is a very important part of that assess step of assess, choose and execute; assess what the reality is, what really is reality, what really is happening now. I will.

00:34:25 Speaker 2

Go live until I have. I won't take the copy of the SP CDs and all the HOA documents. Because, um, SPC deadline is usually three or four days after you go in contract. But, if it takes you a couple days and you have counter offers in there, you have to be so careful that.

00:34:53 Speaker 2

Once you are officially under contract, now you have less than twenty hours to get all that fees over.

00:35:00 Speaker 1

Well, and this is a lesson I learned. And again, The reason these two models are both loops is that it's iterative; We have to keep making decisions. But the best way to make good decisions is to go back, Is to debrief and look at the decision was made: what led up to it, what information did we use? Why was this decision made? What was the result? What can be done different next time? I learned a lesson very early from a gentleman who used to be a broker. He now does mortgage loans instead, Rob Aubrey. And I had sent an offer over and Rob was the broker, and we had put three days after acceptance for the disclosures deadline.

00:35:45 Speaker 1

And he called me up and and I've got a lot of respect for Rob because he says, look, you know, probably looked it up. I was new. He said, Let me explain to you the the situation. This puts my seller in and why we're going to counter this three days for that. This is a Friday. You're sending this over to me, if you know, and I have to have an updated um title report. I can't get that in three days on a weekend. It's not a reasonable situation So, Understand the reason we're countering this because we need to be able to fulfill the contract, but I can't do that the way it's written. And I had a lot of respect for Rob because he didn't talk down to me. He didn't say, "What you know, what were you thinking? Three days? Come on, be real. " He was very professional about it, but also explaining this why we're going to do it this way. And it changed the way that I did offers after that. Realizing that yeah, that's probably too short of a deadline. Three days on a Wednesday might work.

00:36:43 Speaker 1

But three days on a Friday for that deadline might not work. Yeah, I hate I do not want to go live without HOA docs. Trust documents are an issue if you know it's in a trust. Probate documents if it's in probate, the more of those you have before you go live, the better your reality is that you're oriented toward with the listing. Now let's switch back over to the other one here.

00:37:12 Speaker 1

We have to choose. One of those processes is calculating, evaluate the value of ideas, giving a risk score, probability versus loss or what's the probability times the loss factor. What's the probability of this working multiplied by how often it's worked in the past? Because sometimes people will make decisions based on, What it looks like on the face without thinking long term. Hazor Lee uses an example that I use while teaching school. I can give you a million dollars today, Or I can give you a penny on the first day of the month and double it each day of the month until the end of the month. You get to keep the penny you got, So each day you get to keep the stack of pennies I give you all the way till the end of the month.

00:38:09 Speaker 1

Now Craig, you know the answer. Which one makes more sense? Penny a day, you get more than twice of what you would. But oftentimes buyers and sellers just see the penny as a low amount. It doesn't make sense to them. That's what is referred to as a power law. Some types of decisions are going to have an outsized effect, Have a greater effect than others when negotiating for repairs. Sometimes it makes more sense to you've got three major repair, three repairs that absolutely need to be done. Hit them with all eighteen now ;. It's easier to talk them down to three, if only if I only start with those three and the seller.

00:39:10 Speaker 1

Fights me with it. I've lost my leverage. The power is not there. Talking with you know, having talking with their lenders about what does make more sense, Putting

money toward the down payment or putting money toward closing costs or putting money toward buying points. Is a three two one buy down really worth it long term? How long are you going to be in this house? If you're not going to be here multiple years, a three two one buy down, Doesn't make the money back. You can use it smarter other ways. So, those nonlinear solutions, decisions that can have an outsized effect. And then of course the last step execute. We make a choice we have to do it now in cognitive psychology.

00:40:09 Speaker 1

He doesn't include this in his book, but in cognitive psychology there is a phrase known as amygdala hijacking. The amygdala is the part of the human brain that is responsible for controlling and maintaining the fight or flight response, and that is the stress response. Stress and the fight or flight response itself is not a negative thing. The body evolved that way and has Was created and was created that way and has continued to evolve that way because it works. Here's what happens with the amygdala hijacking. In high stress situations, the amygdala pumps adrenaline and cortisol into the system. Adrenaline increases your heart rate, increases your breath rate, tenses up your muscles, and you get ready.

00:41:06 Speaker 1

To fight. It also redirects the blood flow in your brain, And it redirects it from the neocortex. And the prefrontal cortex is at the front that's responsible for the decision - making process and pushes it to the back of the brain that's responsible for the fight or flight response. And as long as you're in that elevated emotional state, There is less and less blood flowing to the part of the brain that biologically is responsible for higher thinking. I would teach this to eleven-year-olds when they get in trouble, and the principal would say, "What were you thinking?" And the kid would say, "I don't know." They're not mouthing off; they biologically don't know what they were thinking. No memory was created ;. They weren't thinking because there wasn't any blood in that part of their brain.

00:42:00 Speaker 1

How, many people do we know that live and operate constantly in that high stress fight or flight mentality or body mode? That when you ask them to make an intelligent decision, if you're like, can you just not think biologically, they can't. The blood's not in the right part of the brain. That's when you have to step back, take a deep breath and regain control of your body. You'll notice when oftentimes you get anxious, you make a fist. If you've got a client who you notice is nervous and is doing this, hand them a pen to hold on to. They can't make a fist. There's a whole row of neuroreceptors across the palm of your hand, that when you make a fist, tell the brain I'm getting ready to punch somebody and immediately puts the brain into that fight or flight mode. When they open the hand, it turns all those receptors off. It turns off the I'm going to punch somebody mode. Hand them something.

00:43:00 Speaker 1

They have to open their hand. Now it turns those sensors off. Change your body position, so they have to move their body to match your body position. They'll do it instinctually, But it will change them from if they're like this, and you put your hands down, just shake your hands, put your hands down, they'll oftentimes mimic you. They'll get out of that fight or flight mode, and it will get you out of that fight or flight mode so that the brain can function. It's part of the wind. The clock do something physical to reset the brain so that it can make a decision that isn't based on emotion. Hardest part about working with buyers and sellers is they're making a very rational decision in a very irrational emotional environment. How many times have we had to work with a client that you just their decisions seem completely?

00:43:57 Speaker 1

Irrational and emotional, and emotion based. That then seem to get worse down the line. There's no situation so bad you can't make it worse. Get them out of the fight or flight mode, manage the stress for cognitive clarity. Avoid complacency, okay? I'll tell you, I'll tell this story on myself. Very early working with Marty, when Marty and I first started working together, Marty did not have an operating system. He just did all of his transactions in his head and tried to keep track of all of it in his head. How, I don't know. He did thirty transactions the year before I met him, all in his head. And he realized he was dropping things. He couldn't keep oriented and execute fast enough. Okay, And you guys get to watch me fix another typo because it's going to bug me.

00:44:56 Speaker 1

So I had to go through the process of working with him, going, "Okay Marty, what comes next? What comes next? What comes next? " So start making me a list of things to do so that I can get things done in the right order. Filled out a Ropsy for him. Did paragraph two, everybody's favorite part, the math. Sent it over for him to review. He calls me up and says, "You need to check paragraph two." I said, "Marty, I taught math for twenty years. I know how to do paragraph two shit." And I had done the math wrong, But I was so complacent, and so arrogant about " I know how to do the math. " I did the math wrong and sent it off without even bothering to recheck it. When I get done writing an offer now, I start at the bottom of the contract and read it backward to check everything to make sure it's done right. Because as soon as you're clicking this reading it forward, your brain automatically fills in what it thinks should have been there.

00:45:53 Speaker 1

It creates a false reality. If I read it backward, when you read it backwards, your brain can't do that because it's going in the wrong order. It has to pay attention to the details. Did I do this right? If I write an addendum, Go back and start at the bottom and read it from the bottom up to make sure everything's there to get out of that complacency. And then after a decision is made and after an event is over

Debrief and iterate. Learn from the experience. An F-16 is designed to be in the air for about an hour, for 90 minutes to two hours at a time. My daughter has pointed out that the current situation in the world, The pilots and the aircraft have been under extreme stress because they've been keeping them in the air for up to eight hours at a time. An aircraft and a pilot is designed to be up in the air for two hours.

00:46:52 Speaker 1

Um, they don't have time. Oftentimes, They don't have the right amount of time to stand afterward and talk about it. Hazle talks about that after a ninety minute training with pilots on the F thirty five, they can spend two to three days reviewing everything that happened all the video, the video from the pilot's cabin, the video from the trainer's aircraft, the data that all the computer keeps, the notes that the pilot, As soon as the pilots on the ground write down everything they remember happened, because human memory is fallible, And they'll spend days and days and two or three days reviewing what happened in ninety minutes to two hours. He says, "Now does that sound excessive? Could be, but when your life is on the line, maybe not." Because you start to notice things. And in part of that iteration process is to look for patterns. What are common things you see happening?

00:47:49 Speaker 1

If you've got a client who's look for patterns in your client's behavior, And if they're always behaving the same way and it's making it difficult for them to make a decision, we need to help them learn another way to think, to function. Look for patterns in the reps. Common mistakes that can be made. Look for patterns with your seller. What are they saying yes to? What are they saying no to? What do they keep repeating? Because that's an iterative process for them, and they may need to Greg describes it as. Predict the future for them.

00:48:22 Speaker 3

Yeah, it's all about expectation management.

00:48:26 Speaker 1

Expectation management: if you do this, this is what my experience has shown us happen. Let me let me give you that iteration in advance, Greg. When, you've got a client that wants to list way at the top of the price range, what are the iterations that you're going to be able to present to them?

00:48:45 Speaker 3

Yeah, well I let them know.

00:48:48 Speaker 3

I don't want them ever to say, "Craig, you didn't set my expectations correctly." I don't want to say that. So then when they say that, I say, "Expect that you will have no showings during the week. You may have a showing come to an open house and maybe two people, but you will have no one scheduling during the week. The

people coming to the open house also won't be interested at, especially at price." That there are and I'll give them hard data. I'll say, "Look," I'll go back and get you the number of properties competing with you that are not going to that people would see and buy first. But I try to I try to manage this during the market analysis process anyway because I'll, I will I will try to give them properties. They can see are clearly better than theirs, that are that is clearly priced lower than theirs, So they can see that there's just no way if that other property is not selling and it's forty five days on market, then even if you're priced equivalent to it.

00:49:45 Speaker 3

They're forty five days out and still haven't got an offer. Why wouldn't you badge it to come in and grab one? So that idea, that that's sort of the process I go through with that.

00:49:55 Speaker 1

But that's an important part of that observe or assess, gain the knowledge, gain the most information you can so they're oriented toward reality, not emotion based. It's rational based. And then help them iterate after the open house, after the showing, after the end of the first week. Well, Here is what let's observe and see what's going on now so that we continue to work through that process. Now, like I said at the beginning, He hazardly makes a point out of pointing out that we just assume adults know how to do this ;. We just assume they've learned how to make wise or make intelligent decisions.

00:50:43 Speaker 1

Make informed decisions. We assume that's their background. They were bringing in pilots who these were in a room full of thirty pilots, two would qualify as fighter pilots, the remaining twenty eight would wash out and fly something else. But everybody walked in expecting to be a fighter pilot. These were already the top thirty in their class, And he said, the ones who washed out the fastest are the ones who had never learned. How to go through a cognitive decision-making process. They could give you all the stats, all the data, Some of his top students in terms of what they could score on traditional measures on a written test. We all know the 120 hours for the written test in real estate doesn't teach you anything about how to actually do real estate. It's a skill that we have to learn and practice.

00:51:40 Speaker 1

Sometimes we have time to make a decision. The planning and run-up to the first Gulf War took over six months. Planning and preparing for the first forty-eight hours of that conflict. We don't always have that much time. Yeah, sometimes we are flying along at a high rate of speed through a transaction, something comes up, we have to be responsible for our clients and for our connections That we're going to make this decision rationally. And that can be hard when the other side's responding emotionally. So that we can help our clients go through that process of observing the data, orienting toward the actual reality, making a decision and

acting on it. And then accepting that what happens from their choice, we're going to make the choice that makes the most sense, but there's always going to be a risk of failure.

00:52:37 Speaker 1

One of the experiences Hazed Lee shares in his book, one option had a 50% chance of failure. One option had a 75% chance of failure. He went with the 75 % chance of failure because it was less chance of failure, Knowing that he still had a one in four chance of the whole thing going wrong, but he had a three out of four chance for going right. Our clients always need to understand there is always going to be some risk. We'll control for all the factors we can and make flies decisions that way, and then we move forward. Okay, I haven't done it yet. I am actually gonna i just finished this book. I am actually gonna make an OODA and ACE sign to put on my wall to remind myself that I need to go through those decisions sometimes because yes, there have been times when there are times when yeah, I just want to just say you know.

00:53:32 Speaker 1

I want to go off an emotional choice and not a rational one, and that's not in anybody's best interest. So, If you haven't had a chance find find the book " The Art of Clear Thinking " on Amazon. It is a real quick read. Your heart will race through some of the stories he tells of that he uses as illustrations for me. It was kind of personal, like I guess my daughter fixes puts F sixteen s into the air. But his whole point is, we have to make good decisions for those we represent. And he says, you know, in our daily lives as well. And if you write, if we go through this loop and make planned decisions, we'll be better off. Any questions?

00:54:25 Speaker 3

Thanks Aaron. Thanks for the info. Okay.

00:54:30 Speaker 1

We will see you tomorrow same same time. Tomorrow, Craig, what are you doing?

00:54:36 Speaker 3

Eleven o'clock business building.

00:54:38 Speaker 1

Business building. Okay.